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ROCKWOOL A/S (ROCK.B.DK)

Q1 2024 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

Good day to everyone and welcome to ROCKWOOL A/S Conference Call Regarding the Result for the First Quarter of 2024. My name is Kim Andersen I'm the CFO of ROCKWOOL A/S. Today I'm pleased to present CEO, Jens Birgersson.

For the first part of this call, all participants will be in a listen-only mode. As a reminder, this conference call is being recorded. First, Jens Birgersson will go through our presentation and give an update on the results for the first quarter 2024. After which, we will be ready to answer all your good questions.

Before I hand over the word to Jens Birgersson, I must ask you to notice slide number 2, which is the forward-looking statement. Please be aware that this presentation contains uncertainties.

Now, we can go to next slide, which is Slide 3. Jens Birgersson, I'll hand over the word to you.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Good day – with the microphone on this time. Good day, good morning everyone. Looking at the numbers for this quarter, we started off in January with maybe the first two weeks, a little bit slow. You never know what happens in January, but as the quarter progressed, business picked up and turned quite strong. There was quite a big mix shift. We have very little residential business. We see very little activity still on the residential side, but on the heavy densities, the non-residential [indiscernible] (00:01:40) flat roofs, sandwich panel, basically everything going in the industrial segment, that started to grow and I'm very happy with our top line.

And considering that last year we kind of held back on resources, we have trimmed a bit of cost, but not too much. When that growth came, that together with a bit of price level that was stable, that turned into a nice and profitable quarter.

In terms of volume, due to the shift from the overweight on the heavy densities, we actually have a double-digit volume growth in there compared to last year. Again, comparing with the relatively easy comparable.

Move to slide – take Side 4, please. Higher growth in the Insulation business. So we have 9%. Again, bearing in mind that it was quite a hefty winter in some areas, especially Eastern Europe last year in Q1. On the Systems business side, we see a decline. But that's picking up. We believe that the Systems will get back into growth territory from now onwards. So it's looking better, especially Rockfon had a very slow start of the year, but it's looking better now.

Go to Slide 5, regional sales development. Everything pretty slow in Western Europe. Should be said that Germany had quite good growth and it has recovered a little bit, still on a low level but – and it's not double-digit growth, but it started to grow and – but it was so extremely low for us last year. So – but that's the positive. All the other countries are around 0%. No particular good news anywhere. But there is a solid business and possibly a trend of improvement in some of the Western European market.

Eastern Europe then, there is a broad based growth, volume and top line. And to sum it up, I think there is only one country where we didn't grow, all the others grow, and a lot of countries that grow-double digits. So that's good. I think that fits with this and to try to understand why is that happening. It's heavy densities. It's industrial buildings, it's non-residential segments. And I think it has to do with that people that invest in factories and those type of buildings, they now see the end of the downturn and they have started to invest again.

Nearshoring possibly impact this and planning to be ready by the time it's turn – the business cycle is improving. So that's what drives the business,

In North America and Asia we have a double-digit growth in both places. Japan where we made the acquisition, I was there in Q1 is still a very small business, but we had the very significant growth and we are starting to get some volumes into our factories. So that's nice. It's still a small business, but is encouraging the growth numbers we see.

In Slide 6. Profitability, we had slightly lower prices compared to end of last year and just slightly below Q1 last year we're talking. So, basically stable prices. We see logistics radius increase slightly. The mix impact our profitability a little bit negative, but materials are lower and energy are lower. So, profitability is up plus the volume growth, the big volume growth that also adds to the profit. And we didn't need to add much resources to produce that growth. So, that goes through nicely to the bottom line.

In terms of provisions, you know, we declare provisions most of the time. We don't talk about it. But quarter last year and quarter this year is roughly neutral. So, it's a margin improvement without impact of any provision taking or restructuring or anything like that.

Slide 7, nice development in profitability on Insulation. You see, the margins has improved from a bit above 10% to more than 15%. Nice. And that's driven by the business I mentioned. On the Systems division we also had the – have the development last year, we were on 10.4% and now 14.2%, which is a more normal, normal margin. So we're happy about that.

Q4 2023, I just want to remind you that we had the €60 million restructuring project that we booked in that quarter. So that's not representative, but the Systems division has improved also, which is nice.

Slide 8, investment activities. We just keep investing. There are couple of things that will happen. One is that we have started up the Flumroc plant. That was probably the main investment there. We also commissioned a new paint line for Rockpanel and we keep doing that. So that has continued and we haven't had any – and nothing especially notable in this. We just keep doing – executing on the plan and we haven't drawn back. We did also – we see an increase, a couple of factors. Our technical Insulation business partly due to competitions exit from the marine business, but also a general increase in technical Insulation demand. We have also invested in Bohumín in an increased capacity and that business is growing nicely.

Moving on to Slide 9, the electrical melter in Flumroc. Okay, not everyone will know that, but it's in Switzerland and it's in Flums. That's a €100-million investment. We made this acquisition and in the business plan. We made it several years back. It's just been tremendously successful, but we made a commitment to secure this location in Switzerland and this factory is in Switzerland, for Switzerland, which is quite unusual in our sector. We have now completed that investment of €100 million.

It started up on the day it's the largest electrical melter in the world. And there are also another couple of extras in that plant that we have never tried before that has worked out. And it has been a beautiful project. Co2 reductions would be something like 75% with that, and it – we will have green energy driving that. So that's a really good project.

It will also improve our ability to take back old products and do a circularity or upcycle them. We were almost at the limit of what we could handle, but not a higher content of non-beryllium products. That's good. Just to give you a little bit of feeling for this project, the total shutdown, I mean, we prepared everything and then we did the total shutdown of five weeks. And to get through that, those weeks and supply the customers, you know, many markets we can take in products from neighboring countries. In Switzerland, that is a little bit more difficult due to the nature of the products they prefer in that country. We had built up a strategic stock of 100,000 pallets, and the – it worked out really well. And we kept customer supplied.

Slide 10, free cash flow, good. As usual, net working capital is not a big issue for us. It's on a healthy level. Some of the reduction is also caused by the increase in deliveries and that we now have relatively low stocks, but we are ramping up capacities. So I'm not worried about being able to deliver good growth in Q2. We are ahead of the curve and we should be able to grow more.

The share buyback program is progressing as planned and maybe we are – I will say we are surprised, but the net cash – net, we don't have debt against the 200 – more than €200 million surplus again net debt free. So a very healthy balance sheet position.

Over to the outlook, slide 12. We had already preannounced the outlook. We didn't change that now. So mid-single-digit growth, 15% margin and we just maintained a – the CapEx forecast. So that's the outlook. And you had factored that in already in your estimates, I think, when we did the profit warning a few weeks back.

Over to questions.

QUESTION AND ANSWER SECTION

Operator: We will now begin the question-and-answer session. [Operator Instructions] At this time, we will pause momentarily to assemble our roster. Our first question comes from Casper Blom with Danske Bank. Please go ahead.

Casper Blom

Analyst, Danske Bank A/S

Q

Thank you very much. I have two questions, please. The first goes to pricing. You've successfully more or less maintained your pricing throughout 2023 and here in Q1, and while we see that competitors like Kingspan and Saint-Gobain have been lowering pricing, can you talk a little bit to the pricing dynamics in the market and any kind of feedback that you are getting from customers on this topic?

And secondly, with margins now at a higher level than we have seen historically, do you believe that there could be a situation where this could trend even higher, if and when volumes bounce back to the level seen a year or two ago? Thank you.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Okay. Thank you, Casper. So let's start with the pricing. We did – first of all, the overall price number is a combination, obviously, of all regions. And we see different things in different regions and we see different developments in different segments. But underlying I would like to say, inflation is still there. Yes, energy prices have come down to more normal levels and this and that. But we still have inflation in North America. We have it in Europe and we have it in Asia. So going forward to keep profitability fine because the inflation has not disappeared.

Net, obviously we have different pricing climate. So, in North America we have been quite careful on pricing until now and the reason was that we got completely overwhelmed in orders and ended up with a very long delivery time. So, now we have ramped up capacity and we have moved the – start to move through the backlog, get back to proper delivery times. And we have also launched relatively – a substantial price increase in North America again, because we don't feel we should raise prices and have loss of service to our customers.

So, US have a positive pricing climate with also high, high inflation and high demand. So, that goes that way. Asia a little bit spotty, but again, in the big scheme of things, doesn't impact the overall numbers yet. In five years I'm sure Asia will impact our numbers. But now it's not a big deal. And then we look at Europe and the tricky segment would be the residential general building Insulation, where we really kind of walking a tightrope. But we are not dropping a lot, but we did kind of adjust pricing a bit, but there is very competitive.

And then you have some markets where you have projects like mid-sized projects where we offer stone wool and there is a complete carnage on the EPS side with very low pricing and we lose a bit of projects and we go down a bit.

So -but overall on the heavy densities then, with the demand coming now and regaining ground then, we increase prices. So, the net of that is that I see stable pricing, but it's a lot of work into different segment. You look at, for example, technical insulation into oil and gas, into marine. A healthy, healthy demand and we pass on the cost increases. So that's the way we approach it. And our goal was always to kind of get through here. And we have always told our customers that we don't see the inflation go away. So we haven't – and it's not going away very quickly. And therefore I see continued small price increases.

Then on the margins, Kim and I, we have this old 10%, about 10%, and we have never had the problem with being, you know, 6% or 7% because when we look at the CapEx and the massive investments and the price of the plants with the inflation, I would fundamentally say that we should have a higher margin in the business.

Again, higher margin is a bit of a dangerous concept because if we end up building, say, two jumbo lines and we switched them on, it's several margin points in depreciation. So I think again, in future calls, I said that last time, we should talk EBITDA margin, but I think we need a higher margin and we should try to maintain a higher margin because with all these investments that are needed in this business, you have the – on the one side, the greenification we do see or two take and I've mentioned €100 million in Switzerland, we need to charge for that.

You know, we cannot end up in businesses that don't cover them. So I think we need a – an underlying higher profit margin. Then we also have now the Energy Performance of Buildings Directive that was decided on 12th of April in the EU with very ambitious targets and I don't see an impact in 2024. But you have now goals for 2030. You have goals for 2035, you have aspects in there on solar energy installations, which is a sweet spot for us because of the non-combustibility. You even have some guidance in there on fire safety hazards, because when you install more electrification, heat pumps, PVs, batteries, recharging infrastructure, you need to be more fire safe. And then you have all these buildings that are going to be renovated.

So, with that, we also see that we – if that start to realize we need to invest more and therefore I will like margins to be higher. Okay? So, nothing against maintaining the margins to make sure that we have a sustainable business. I hope that answered your questions, Casper.

Casper Blom

Analyst, Danske Bank A/S

Q

Yeah, I suppose [indiscernible] (00:20:06) If I could sneak in one follow-up, it would be if there would be a margin level where you would say, okay, now it's pretty comfortable, let's – let us try and go for more volume hunt instead of further increasing the margin?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah, I think, we go for volume, but you know volume is super important. But if the volume gets restricted by capacity, it's not smart to sell out your volume at too low margins, right? So, we need to build factories to cover the volume. I mean, if – we definitely want to grow the volumes, but now we just come out of a period where it was just to navigate maintaining market shares and keep profitability of the business. But we have been seeing falling volumes. So now we come into growing volumes. So we have a different scenario, but for sure, for sure we want the volumes to grow.

Casper Blom

Analyst, Danske Bank A/S

Thanks a lot. Thanks a lot, Jens.

Q

Operator: Our next question comes from Alexander Craeymeersch with Kepler Cheuvreux. Please go ahead.

Alexander Craeymeersch

Analyst, Kepler Cheuvreux SA (Belgium)

Hi. Hello. Good morning. Alexander from Kepler speaking here. Congratulations on the nice set of results. Yeah, I was just wondering on the capacity, because you were already touching on that. In H2 2022, you did some capacity reversal here, with unfortunate layoffs. And I think, one specific item you mentioned there was a deep maintenance in the plant of Germany. Now that you mentioned that volumes are increasing and the demand in Eastern Europe and Germany is increasing, have you already made some plans to increase capacity again? Restaffing and – or are you comfortable with the current capacity? Thank you.

Q

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Yeah, yeah. I mean, the installed capacity is there and we are – like in the US, we had added several shifts. And we are ramping up now in line with the capacity increase. And as I said, when we did that big – when was it? 2022. 2022 in the autumn, we did a big – a relatively big capacity take up. But that's a – so we struck early and then we set the volume level for the downturn and that pretty much worked out. And also I assume you are – are you in – based in Germany or no?

A

Alexander Craeymeersch

Analyst, Kepler Cheuvreux SA (Belgium)

Based near Brussels.

Q

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Oh, okay. A lot of [indiscernible] (00:22:53) and all the other schemes. Now we see, for example, is Southern Germany in Nürnberg, with the growth that is – it's back from a low level. It's not healthy in Germany, it's nowhere near where it should be. Nürnberg for example, in Southern Germany is back up and running again on all lines. So we are putting in more capacity. But again, it's not – from the level we are talking about. It's not a big, big problem. And we are planning that and we should be able to grow.

A

Alexander Craeymeersch

Analyst, Kepler Cheuvreux SA (Belgium)

Okay. Thank you. And then going on on the capacity, my second question would be, if you could maybe give just an update in terms of budget capacity and timing of the plants in France, Romania now also the US. Thank you.

Q

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

I hand that over to Kim.

A

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

Yeah, thank you very much. And we still have a plan to go ahead to construct the factories in France and Romania to be online in the second half of 2026, crossed fingers. And then, of course the factory in Washington State in the US has just been approved by the board here lately and we are in the planning there. We have a piece of land we're doing the deals on that, but that will only come online in 2027. So that's the plan right now.

So, for us, the next new capacity will be most likely France and Romania here in Europe and in 2027 in Washington State.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

And then India.

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

And then India is also approved. And there will also be a three year period there. So maybe, yes, because it's a – yes. Yeah. but it's a late 2026 into 2027 in India.

Alexander Craeymeersch

Analyst, Kepler Cheuvreux SA (Belgium)

Q

Okay. Thank you very much, Jens and Kim. I hand it over to my colleagues. Bye.

Operator: Our next question comes from Arnaud Lehmann with Bank of America. Please go ahead.

Arnaud Lehmann

Analyst, Bank of America

Q

Thank you very much. My first – I have two questions, please. My first question is on the margin. Is there any reason why you are a bit less optimistic for the margin in the second half? Are you just being a bit cautious, maybe on pricing? Or, is it possible that your 17% – 16%, 17% margin in the first quarter might be sustainable into Q2 and H2? That's my first question.

And staying on the resi and non-resi diverging trends, clearly quite positive trends in non-residential demand. Could you be a bit more specific about which countries and which verticals where you are seeing this strong demand? Thank you very much.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Thanks, Arnaud. So, okay. Thanks. Thanks, Arnaud. So on the margin, when we did the outlook, we don't have backlog. So we can – Kim and I what we do, we factor in what we see into the next quarter. And then we see how the sales forecast build. But we don't have a long backlog and therefore we traditionally get this question often when we do a forecast because we factor in what we see, and guess, you know, a couple of months out and for the rest we take an assumption so that we don't come back and disappoint, don't deliver on it.

The Q – you know, the summer we have August, for example, where France is down and we have some other things that the margin in that period would be a bit lower. Normally is. On the other hand, you have September

that normally is a super strong month. So sometimes that rates are there. But I will say the following rather than trying – and I don't see that there would be a dramatic thing on pricing. I haven't factored in anything like that.

My intention is to keep pricing and keep working at under a price increases where we can and defend market share where we should. And so, I'm not too worried about that. So I wouldn't put more into in other than to say that we don't have a quantitative visibility into those quarters yet. We are getting deeper and deeper into it. But we know, for example, in Q2, we know pretty much the business continues, it's growing, it's looking good.

Then we come on that – those segments and I would say, overall, the business is driven by the heavy business. For example, solar PV is pretty broad based, is broad based. And then you have, for example, North America. It's all types of business, residential, non-residential. And there we have, I would say, less of a – so for example, the flat roof business in North America is not very big for us. So there you have a broad based uptick.

Eastern Europe is exactly what you would expect. You have manufacturing and logistics, data centers, all the type battery factories, you name it, some electric vehicles factories, it's all those, nearshoring or just expansion in the industrial base. That drives it. And that happens into all of Eastern Europe.

And then in Western Europe, I will say there is a bit of that coming, but I will say the fastest growing segment is solar PV flat roofs.

Arnaud Lehmann

Analyst, Bank of America

That's very helpful. Thank you very much.

Operator: Our next question comes from Brijesh Kumar with HSBC. Please go ahead.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Hi. Hi, Jens, and hello, Kim. I have two as well. So starting with the first one is on the – sorry I lost it. But I'll start with the cost one then. On the cost side, what are you kind of seeing in terms of the dynamics? And if you could just give us what you have hedged in pet coke in terms of pricing versus Q2 versus Q1?

And I guess previously you were talking about cash, you hedged for Q1 as well as electric – to an extent. So if you can just give us a little more top data about where we are?

And then second question is on the margin, I guess many questions have already been asked about for it. But if I recollect from history, you make a very good margin in your normal residential business versus flat roof. Given the mix has shifted to flat roof in Q1 versus this – the historical numbers when the residential business picks up, could you say that margin has kind of – has legs to go up as the mix improves positively?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Thanks, Brijesh. Before I start, do you remember that question you asked about the CO2 intensity in the last call?

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Right.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. I checked that a little bit. I just want to look back and comment because we didn't answer it when you asked for it. So basically what happened is that we did improve the intensity. But what we had not done and that was an omission, we should link that up. There were grid factors changing in Germany and France. Those were the main contributors. So – and also China, where we did, we put in electrical melting, we did all the work, but then we had not linked up direct. So those countries, especially France and Germany, had a worsening grid factor. And mathematically that made CO2 look worse.

But when we go back and calculated it again and we match it with the racks, actually we did improve. So we will not – that will not happen this year. It was a mistake from our side because we did not predict that Germany would move so much to coal as it did.

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

And it was a bit of an oversight with China, where we did do the investment in the conversion but didn't secure the racks.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. So we did – so for example, China, we put in an electrical melter and then we did into the conversion to green energy and that actually made it worse. But in effect we dropped the CO2 emissions with 70% or something. So, that would be corrected. And then if you go back to your questions, you know, we haven't seen residential come up, but I guess theoretically if you keep – if you keep the margin on the other business and on the volume and there's more residential scope, the margin would go up and mix and then – so that's a point.

I will hand over to Kim soon on energy, but if you look – when I look at it generally we see a better material and cost input side, but there are some categories is going in, up. And that's logistics, is radius, and there are certain individual materials that creep up. But on average it's going down. Maybe Kim, you can throw some light on that.

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

And I think we – I have told you before, yes. That we had this favorable deal on the coke for the first quarter. And that for sure is one of the energy cost that is going up. I think it gas prices, electricity prices would be more stable for the remaining part of the year. But pet coke prices for us at least compared to Q1 is going up. And then you have also oil related prices like binders and plastic wrappings. Now are expected to go up in price. And then with the insources and logistic and then in wages.

Brijesh Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Okay. Good fair enough. Thanks, Jens and Kim. Thanks for asking. Remembering answering that question.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Okay. Thanks.

Operator: Our next question comes from Zaim Beekawa with JPMorgan. Please go ahead.

Zaim Beekawa

Analyst, JPMorgan Securities Plc

Good morning, Jens and Kim. Thank you for taking my question. Two for me, please. Just one on the strength of the balance sheet, can you speak about kind of the intention in the mid-term between sort of CapEx growing the business and buybacks? Do you think buybacks could be a norm going forward?

And then secondly, just to dive in a little bit on France, what was kind of driving the decline there? And do you see that trend remaining the full year? Thank you very much.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

So, yeah, in France – I take France and then I hand over the balance sheet to Kim. So, in France we talked to a very small, a single digit small decline. So I would say France has been quite resilient and done much better than Germany. So I'm – I think there could be some of the schemes for energy renovation, there could be individual project, but it's nothing dramatic. We are slightly, slightly down. So I would give it another quarter to see how the quarter is coming out, out now.

And it – my prediction would be when France revs up, that we're going to have growth in France also coming. A little bit like we saw in the Systems division, we had a gradual – a bit of a decline in Q1, but we see that coming back to growth. So that would be my prediction. So I would just defer that one more quarter out and see if it was a bit of a blip.

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

Yeah, thank you, and Jens we also had [ph] had that in (00:35:28) France, we did the price increase in Q4. So I think there was a little bit of pre-buying into. Anyway, on the balance sheet the board has decided this year to propose this €160 million share buyback and they did that, obviously, looking at our own investment needs. And it's not something they will do on a regular basis, but it's for sure. Now is the second time this – the board is doing it in [ph] ocean hour time (00:35:57).

So it's definitely something that we will propose going forward in case that we can see there's excess cash in the business to do this mixed of a continued sort of stable progressive dividend, then supplement that with a one-offs and share buyback.

Zaim Beekawa

Analyst, JPMorgan Securities Plc

Okay. Thanks, both.

Operator: Our next question comes from Kristian Tornøe with SEB. Please go ahead.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB (Denmark)

Yes, thank you. Two questions from me. Firstly, just on the price action. So in the announcement when you upgraded your guidance, you sort of reflect that the future inflation, you will take price actions. You've already

mentioned that you've raised prices in North America. So just want to check where else you have recently done the price increases?

Jens Birgersson*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah. Thanks, Kristian. So we have a – there are segments also in some countries, you know, if you take technical insulation, sandwich panel, there we have raised prices. But if you – in addition to the countries you mentioned in the Nordics and the UK, for example, we have launched price increases. And then we have been a little bit careful in some of the markets. And so – but it depends a little bit how it develops now with volumes and what happens with inflation.

But our – I'm not talking big price increases in Europe. We're talking inflationary, a couple of percent, 1% and that – that's the outlook. But also segments where we need to defend the market share and therefore the net at this stage, we don't factor in a price effect this year, basically.

Kristian Tornøe Johansen*Analyst, Skandinaviska Enskilda Banken AB (Denmark)*

Q

Great. Understood. And then my second question goes to this investment in Flumroc, which you are highlighting. So obviously a €100 million is quite a large investment. Can you speak a bit about the financial returns? So how much can you then lift the predicted earnings in the Flumroc business as a consequence of this?

Jens Birgersson*President & Chief Executive Officer, ROCKWOOL A/S*

A

Yeah, without going into numbers. So first of all, we – you know, to keep it to going concern and you look how long we have run it without a lot of investments. You know you can – you need to look at it as an industrialist. And it's a profitable business. And yes, we will improve margins. But the case we have for that is that we make something like eight-year payback on that investment. And we are little bit more – you know, we accept a longer period for a sustainability investment. And therefore, the eight years.

Kristian Tornøe Johansen*Analyst, Skandinaviska Enskilda Banken AB (Denmark)*

Q

Okay. And just sorry for my understanding. So how are you then improving profitability? Is it lower cost or can you charge a premium for the product or?

Jens Birgersson*President & Chief Executive Officer, ROCKWOOL A/S*

A

We – It's all of that. We can take more non-beryllium material back in, which gives us an advantage with price. We get more capacity out of this. We can sell more than we could before and we also get lower cost actually, the variable production cost goes down with the setup.

Kristian Tornøe Johansen*Analyst, Skandinaviska Enskilda Banken AB (Denmark)*

Q

Okay. Okay. Excellent. That's all from me.

Jens Birgersson*President & Chief Executive Officer, ROCKWOOL A/S*

A

And maybe a final point. The maintenance costs, of course, on the new plant is less also.

Operator: Our next question comes from Yassine Touahri with On Field Investment Research. Please go ahead.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

Hi. Yes, good morning. I would have three questions. My first question is for you, Jens. Like over the past 10 years, also ROCKWOOL has done quite well, actually. You nearly doubled the margin. The revenue has doubled. I can imagine that the culture has changed. But could you give us a bit of an overview of what do you think has changed most over the past decade under your leadership? And what were the key challenges?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. Okay. I – yeah. So when I came in, you actually had a business that grew a little bit, but the costs were increasing faster than the top line. If you look at the head count today, we have roughly the same head count and we are 65%, 70% bigger with 6% CAGR. So getting that fundamentally industrialization of the whole business for this massive productivity improvements, that's one.

And then on the margin, you know, when I came, it was 7%. Now we are clocking 16.5% or 15%. So that's more than twice. I think the profitability was too low to sustain the business. We have also – you know, the whole US – US was a loss maker, small or North America, we were breakeven and now it's a very substantial value driver that can run.

Culturally and technical, I think on the technology we now have an edge on almost every aspect of stone wool making. But I think the most important thing and maybe we felt that but culturally we are a hands-on organization, a very agile organization, and we have a winning team. You know, I'm not so important to everybody anymore. The culture now is – it's a team that wins that believe they can do things and that will carry this forward. And the – it is really nice to see that for example this project in Flumroc it's not – you know it's not a low risk investment we did there and take shutdown when you're the only oldest supplier in the market and you take your five week shut down and you do a number of new technologies that we have never done before and we pull it off. You know, that confidence is really nice on the tech side.

So, I think also that also are the main ones. And going forward, I think productivity we work a lot on AI, machine learning. I think now the productivity improvement will have to come from automation and AI and these things. And we already have a number of technologies developed and we are rolling out the program where we have significant productivity improvements coming. So I think that's winning, winning culture in the company. And I believe that really we are a tech company that can achieve a lot. That's really fantastic.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

Then the – a second question on the strategy. We see a lot of the your peers and competitor like Saint-Gobain, [ph] hitech (00:43:24), Kingspan or Knauf focusing on the building a lot of different products to satisfy the need of the customer or even Kingspan I think investing in stone wool.

How do you see this strategy of ROCKWOOL? Do you think this is something that could make sense for you in the medium term? And how would you – do you feel that those companies could have an edge in the future if they are able to provide a wider array of solutions than in a – an ROCKWOOL?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah, so just a correction. Five weeks shutdown, five months shut down in Flumroc, that's why we needed 100,000 pallets. We don't sell 100,000 pallets in five weeks just to correct that. Yeah, the building, the building envelope, you know we have ventilated façade. We have played with a – kind of add-on products on attics. And so, we have been an extreme pure play. I think it's – I think that consolidation of the market and having, you know, we call it solutions, but with several different product technologies to solve the façade challenge.

I think that is sound strategy I'm not going to be here now, but I think it's absolutely a very valid point for ROCKWOOL to look into that. We have had so much work to do it. If I were to run ROCKWOOL another 10 years, it definitely would be an area that I would look at very, very carefully. And we are look at it in different forms. But it is an important trend you point out, and I think it is a profitable trend and a good trend to hook onto.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

And the last question, you're commenting on the CapEx, so I think a same – a new plant is maybe like €100 million, €150 million. What kind of revenue can you generate when you're investing €100 million? Is it – I have in mind, but it's approximately so, and that's when you're investing €100 million, you can generate a €100 million sales. But maybe I'm a – maybe I'm mistaken. If you can give us a bit of color on that, it would be very helpful.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Just come again. So you wonder about the CapEx for a plant, right?

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

When you're investing €100 million in on a new plant, what kind of revenue can you generate? Is it 1 to 1 or is it different?

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

Kim here. With the current price levels, we are getting a bit more than €100 million, I have would say close to €150 million for a €100 million investment.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

That's very, very helpful. Thank you so much.

Operator: Our next question comes from Marcus Cole with UBS. Please go ahead.

Marcus Cole

Analyst, UBS AG (London Branch)

Q

Hi. Morning, guys. Thanks for taking my questions. The first one is just to be clear, what level of incremental price increases do you think you'll need to hold Q1 margins for the rest of the year? And the second one is just on fire safety. How much share do you think you're gaining as a result of fire safety regulation? Thanks.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. So on the price, you know, we don't forecast the price, right. We always said that we – with the current outlook, we need to do price increases to maintain the margin. If costs go down, we need less. But – so we don't – but I've said we needed, you know, 1%, 2% or something this year, but the cost situation can develop differently. So – and then also the volume, of course, if we keep growing like this, and that will help us also. So I – I don't give any anymore.

And on the fire regulation, our observation is such it keeps – you had the Valencia fire now. You remember the Grenfell one. We see now that it's kind of increasingly coming in more and more. That – the whole PV segment for example is shift – it shifted quite quickly in our favor. And I think we're going to see more and more regulation. But then to say how much of that is – quantitatively how much is stone wool going to gain share in the overall picture? I think it is like this. I think stone wool will gain share overall. You had also the fire in Poland in the shopping mall. Stone wool are keep gaining share due to that safety issue and the threat for that if the market keeps growing is that there isn't capacity for stone wool, because stone wool is probably one of the most difficult product to add capacity, and that's how we see it. But it keeps in – increasing the regulation in almost every market we are in.

Marcus Cole

Analyst, UBS AG (London Branch)

Q

Can I sneak in a supplementary on that? I just wonder what that does to pricing power. Seems your price has been very strong relative to other insulation types. Do you think that's largely driven by fire safety regulation?

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

You have definitely something...

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah, I think it's two different markets. You know, if you're in a market where it has to be stone wool, we are against stone wool competition and we need to win it because we are competitive and we provide the best service. So if you take the Tesla factory, we won it because it was big, it was logistical service, it was also the nature of the product.

So we have, of course, a premium to other stone wool players, but regulation where we compete with other stone wool supplier, they also have fire safe products. And then, when you have this borderline products, it could help, because immediately the plastic form are not involved. It goes into a more stone wool pricing segment where we compete, but it's a different type of competition. And they also have high cost level. And we are competitive as a company. We have very high productivity. So we – their cost level is such that they also need to price high and we have a premium. So it doesn't play directly super clearly in our hands, but it definitely help with more fire regulation for our pricing power.

Marcus Cole

Analyst, UBS AG (London Branch)

Q

Okay. Thanks very much.

Operator: Our next question comes from Peter Sehested with ABG. Please go ahead.

Peter Sehested

Analyst, ABG Sundal Collier ASA (Denmark)

Okay. Yes, thank you for taking my questions and pardon my voice here. I have two, if I may, maybe three. on the margin side, I think that historically you needed a 13% margin in order to sort of keep the business model going and keep sort of, you know, debt out of the picture. The 16% that you are now aiming, which you justify in terms of growth ambitions, is that due to a – and mainly a higher need for capacity or that the cost of building has increased? This €100 million for 100 million tonnes has been around for quite some time. But we also know that because some of the building cost in the US have gone up pretty dramatically. So that's the first question. Thank you.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

We – I don't think we ever said that 13%. My view on it is that you should have a healthy margin when you're building expensive plants we're having. And this €100 million for a 100 capacity that, that metric hasn't been in place for many years because – we see obviously the relation to revenue is different because of the inflation. But to the tonnes, that metric was many, many years back. You cannot match that. And in the US, you are nowhere near it with the construction inflation you have had.

And so I think one should be careful with saying, yeah, because we are building those many plants we need that price. I think this type of product business with this type of growth, we need to be up here and under more inflation you have and the more inflation you have on plants, the more we need. But we don't sit and calculate the one and the other. We want to be on the healthy side of that so that there is some room also for things going against us.

And on top, another argument, and that's what we tell customers is that this whole greenification and offering this low CO2 in many places now we had – we mentioned the – a case in Flumroc where we get more capacity, but in many cases we just replaced the melting, we put filters, we do all sorts of things, it doesn't give us more capacity. It's just pure cost to meet – to make a greener product. And that needs to be covered with pricing.

So yes, we need higher margins, but we don't calculate – it's not a cost-plus approach. We want to know, Kim and I, that we have a very healthy business model, so that also if we get into a hyper investment phase, that we know that we have the firing power to do it.

Peter Sehested

Analyst, ABG Sundal Collier ASA (Denmark)

Okay. Thank you. I think it was also just to get a sense of whether your planned capacity for next five years, sort of what – would that be higher than what you've seen for the previous five years? But we could take that in another time. And my second question is on – these heavy density products. Do you have a figure for how much – and what percentage does stone wool comprise of the total building costs for a typical home, whatever that build for largely for [indiscernible] (00:53:41)...

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

You mean for a normal building, how much is the stone wool?

Peter Sehested

Analyst, ABG Sundal Collier ASA (Denmark)

Yeah, exactly.

Q

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Yeah. Like near and almost invisible. I mean, you're talking...

A

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

I think it was 1.1%..

A

Yes.

A

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

1%, plus minus, you know, very little.

A

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

Unfortunately.

A

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Yeah.

A

Peter Sehested

Analyst, ABG Sundal Collier ASA (Denmark)

I guess that also helps in terms of price increases, et cetera . That is sort of the – a relatively small part of the overall building costs?

Q

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Yeah. But again, I wouldn't mind if it was 10% of the cost, but it's not. It's a small portion. I mean all the rest of the house costs more on the labor and all the rest. But around 1%, maybe a fraction above.

A

Peter Sehested

Analyst, ABG Sundal Collier ASA (Denmark)

Okay. Thank you. And then you made the decision to invest on the West Coast in the US. The last time we spoke, I think we had a discussion between the East and West. So is that sort of the strategy that we're going for here, and in less populated area, but potential to have a larger market share as a potential first mover?

Q

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. It – not – yeah. I would – I will say it's like this. When we sat, you know, we have the Toronto factories supplying south, obviously up in Canada too, supplying south to New York. Then we had the factory in the South, Mississippi. There was the hole on the Eastern Seaboard. So I – I didn't enjoy this at all to sit with such a sweet spot open. I like to have overlap between the factories. So if you sell out on one the optimal, we can still put in product from another one. So I like that footprint.

On the Canadian side. Yeah, we already have a West Coast factory and Washington State is – it's a huge economy with a lot of growth. So is – yes, the factory is in a non-urban area.

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

In Seattle.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah, but Seattle and Vancouver. And – there's a lot of economic activity enough over time to fill that factory. But from there, it's much cheaper to ship south than shipping north. There's the return freights. So all the goods going to Canada. So actually it's quite logistically clever to put the factories there also to work in to California.

And then later on one could question, should we then put one further south to cover California. But California is not the super big market for us yet. We need to develop it. Remember we are down on this 1%, 2% of all insulation share for stone wool. So it's – there's a bit to work to do. But my thinking is all of us create overlapping service areas between factories. It's a bit like an elevator model. In certain times, you know, the elevator companies don't earn so much money on the – much money on the elevator itself, but they need to have the density so they have excellent service and that sustains the business. And that's how I like to see it.

We love working in our – with quick delivery times and having the capacity in the zones so that we are really, really easy to work with.

One – I think that answered your question, Peter or ...

Operator: Mr. Sehested. Your line is open.

Peter Sehested

Analyst, ABG Sundal Collier ASA (Denmark)

Q

Can you hear me?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. Yeah. We can. Is that Manish or ...

A

No, this is Peter, still.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Oh, It's Peter.

Peter Sehested

Analyst, ABG Sundal Collier ASA (Denmark)

No, I just confirmed. Thank you for that. You answered my questions. I am – I'm okay. Thank you.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Okay. Thank you. Peter. Bye.

Operator: We have one more question from the line of Manish Beria with Bernstein. Please go ahead.

Manish Beria

Analyst, Bernstein

Oh, yes, Hi, Jens. So you have mentioned that the CapEx to build the plant has gone up. So I think in my model, I had to build 100,000 tonne plant, each cost like €130 million, €120 million previously. So going forward, because of the inflation, how much does it cost to build a 100,000 tonne plant today? So how much more like 20% or 30% of 50% more?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Manish.

Manish Beria

Analyst, Bernstein

That's the question here.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Manish.

Manish Beria

Analyst, Bernstein

I just have one question. Yeah.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Manish. It's – is a super good question, and I would love to answer it, but I don't want to fiddle in Kim's spreadsheet and we have never answered that. So I hand over that to Kim. Kim, what do you answer that?

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

Yeah. Thank you. There is days of course. That the cost of building a megafactory. And I see it ranges depending on where in the world you build it between [indiscernible] (00:58:47) maybe a more updated figure for you Manish to work with.

Manish Beria

Analyst, Bernstein

Q

So basically it's fair to say, like in the US it will be the higher side and Europe will be maybe on the lower side of the range that you provided, right?

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

Eastern Europe will be in the lower side now, you know, and then of course, the more Western Europe you get is – it's also higher. And for sure the US is the highest.

Manish Beria

Analyst, Bernstein

Q

Okay. Thank you. Thank you so much.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Thanks, Manish.

Operator: Thank you. Ladies and gentlemen, this was our last question. I go turn over to the management for any closing remarks.

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

Thank you very much. Jens and I, thank you very much for the call today and all your questions and we appreciate your interest in ROCKWOOL. If you have further follow-up questions, you are of course always welcome to reach out to the top professionals investor relationship department we have, that is me. Have a very nice day.

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